EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sta. Teresita was formerly known as barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as regular Municipality. It has thirteen (13) barangays, with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

The Municipal Government is committed to serve its constituents by maximizing the utilization of its limited resources. Like other local government units, it enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable and economic growth, as provided for in RA 7160, otherwise known as the Local Government Code of 1991.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

1. Top 4 LGU Assessed Value;
2. Exemplary Performance on Revenue Generation and Resource Mobilization on Receipts from Economic Enterprises;
3. Rank 4 on Revenue Generation and Resource Mobilization on Receipts from Business Tax; and
4. Certificate of Appreciation for consistently implementing the Social Pension Program with 100% compliance on liquidation requirements.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sta. Teresita, Cagayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Sta. Teresita, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/(Decrease)
			Amount
Financial Position			
Assets	460,864,855.15	360,566,610.41	100,298,244.74
Liabilities	60,797,378.95	38,838,630.92	21,958,748.03
Govt. Equity	400,067,476.20	321,727,979.49	78,339,496.71
Financial Performance			
Income	174,123,307.54	149,663,352.93	24,459,954.61
Expense	134,080,235.50	114,788,276.14	19,291,959.36
Appropriations, Allotments and Obligation			
Appropriations	168,179,577.57	151,092,816.48	17,086,761.09
Obligations	127,314,404.24	117,976,649.88	9,337,754.36

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Sta. Teresita, Cagayan for the year ended December 31, 2022 due to the following:

1. The validity, propriety and existence of the Property, Plant and Equipment account totaling P294,152,328.06 as at December 31, 2022 could not be ascertained due to the failure of the Municipality to conduct physical inventory taking, contrary to COA Circular 2020-006 dated January 31, 2020.

2. Depreciation Expense was not provided for various Property, Plant and Equipment accounts, with a total cost of P9,346,135.60 as at December 31, 2022, contrary to Philippine Public Sector Accounting Standard 17, thus, affecting the fair presentation of the account in the financial statements.

3. The accuracy, validity and completeness of the reported balances of the Real Property Tax Receivable and Special Education Tax Receivable totaling ₱4,015,636.26 as at December 31, 2022 cannot be determined due to: a) incomplete basis and supporting documents to account for the composition thereof; and b) unreconciled records of the Accounting and Treasury Offices, inconsistent with Section 246 of the Republic Act No. 7160 and Section 20 of the New Government Accounting System Manual for LGUs, Volume I.

D. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The validity, propriety and existence of the Property, Plant and Equipment account totaling P294,152,328.06 as at December 31, 2022 could not be ascertained due to the failure of the Municipality to conduct physical inventory taking, contrary to COA Circular 2020-006 dated January 31, 2020.

   We recommended that the Management:

   a. Thru the Inventory Committee created, conclude the conduct of physical inventory of PPE, update the property records based on the results of physical inventory, and reconcile with accounting records;

   b. Undertake all the procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of Property, Plant, and Equipment accounts in the financial statements; and

   c. After the inventory taking, direct the Municipal Accountant to prepare the updated leger cards for each item of the PPE pursuant to Section 120 of the NGAs for LGUs Thru the Inventory Committee, update the property records based on the results of physical inventory, and reconcile the same with accounting records.

2. Depreciation Expense was not provided for various Property, Plant and Equipment accounts, with a total cost of P9,346,135.60 as at December 31, 2022, contrary to Philippine Public Sector Accounting Standard 17, thus, affecting the fair presentation of the account in the financial statements.

   We recommended that the Management direct the Municipal Accountant to compute the depreciation expense, prepare the lapsing schedule and draw the necessary journal entry to take up depreciation expense for the current year, and record adjustment in government equity account for unrecorded prior years' depreciation expense in order to present fairly the financial statements in accordance with PPSAS 17.

3. The accuracy, validity and completeness of the reported balances of the Real Property Tax Receivable and Special Education Tax Receivable totaling ₱4,015,636.26 as at December 31, 2022 cannot be determined due to: a) incomplete basis and supporting documents to account for the composition thereof; and b) unreconciled records of the Accounting and Treasury Offices, inconsistent with Section 246 of the Republic Act No. 7160 and Section 20 of the New Government Accounting System Manual for LGUs, Volume I.

We recommended that the Municipal Mayor require:

a. The Municipal Treasurer to furnish the Municipal Accountant the certified list of taxpayers, with the amount due and collectible, which would be the basis of the latter, to set-up the RPT/SET Receivables at the beginning of the accounting period;

b. The Municipal Treasurer and the Municipal Accountant to ensure that all due and demandable taxes be accounted properly in their own records and any delinquent accounts be continuously reported in the books, unless subsequently settled; and

c. The concerned officials to adhere strictly to the provisions of Section 246 of RA No. 7160 and New Government Accounting System Manual for LGUs, Volume I.

4. The balance of the Due to NGAs account as at December 31, 2022 amounting to P21,941,150.79 could not be relied upon due to: a) lack of details and supporting records of accounts totaling P844,474.34; b) unreturned balances of fully implemented projects to source agency; and c) unutilized fund transfers from various NGAs, which are contrary to COA Circular No. 94-013 dated December 13, 1994, thus, depriving its constituents of the economic benefit that could have been derived therefrom.

We recommended that the Management:

a. Exert more effort in tracing the nature and details of the unreconciled amount and make the necessary adjustments to fairly present the financial statements;

b. Identify the completed projects from the funds received from various NGAs and prepare the corresponding liquidation report to be submitted to the source agency, and return the unutilized balance of the fund, if any; and

c. Implement timely the funded programs or projects of the National Government Agencies in order to maximize the use of government resources and prompt delivery of the desired socio- economic outcomes to its constituents.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the fourteen (14) audit recommendations in the CY 2021 Annual Audit Report, seven (7) were fully implemented while four (4) were partially implemented and three (3) were not implemented as at year-end.